

Move forward. I still believe that we should argue that the FERC model of these costs is inappropriate and discriminatory - letting only generators include these costs.

Jim

-----Original Message-----

From: Alvarez, Ray
Sent: Fri 9/28/2001 2:04 PM
To: Steffes, James D.
Cc: Shapiro, Richard; Robertson, Linda
Subject: CA Refund Proceeding- NOx Issue

At my suggestion, and in consultation with Seabron Adamson, one issue we are exploring is how we can deduct our NOx costs from any refund that may be deemed to be due, or make an offer of proof if the Judge doesn't go for it. The generators will be of no help with this, since they have a credit mechanism in the July 25 order that keeps them whole. Marketers do not.

Seab advises that NOx will have a very substantial impact on prices, especially before spring 2001 when the rules were loosened by state order. In order to proceed, we will need to get a source of data on NOx prices. I have touched base with Alan Comnes and Mary Schoen on this. If the idea pans out, we would have to retain an expert. I will keep you apprised on the need for an expert. Would also expect that we would want the Marketer Group to kick in before retaining an expert. What are your thoughts on this? Ray

-----Original Message-----

From: Dan Watkiss [<mailto:dwatkiss@bracepatt.com>]
Sent: Friday, September 28, 2001 2:31 PM
To: Alvarez, Ray
Subject: RE: Meeting next week

Ray, should probably check with the home office about whether Enron is interested in fronting this financially alone or whether they want to get a commitment from the marketer group before moving ahead. Let me know.

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>>> "Alvarez, Ray" <Ray.Alvarez@ENRON.com> 09/28/01 02:26PM >>>
Forwarded the first lead to you this morning- Gary S. Rubenstein of
SIERRA RESEARCH. I'm waiting to hear back from Mary Schoen for more
leads.

-----Original Message-----

From: Dan Watkiss [<mailto:dwatkiss@bracepatt.com>]
Sent: Friday, September 28, 2001 12:41 PM
To: Alvarez, Ray; seabron.adamson@frontier-economics.com

Cc: gfergus@brobeck.com
Subject: RE: Meeting next week

I have a conference room reserved and will certainly be back from the Court argument by then. Ray, it would be helpful if, by then, you have some leads from Alan on experts in California NOx trading.

>>> "Alvarez, Ray" <Ray.Alvarez@ENRON.com> 09/28/01 10:52AM >>>
Seab, OK by me. Ray

-----Original Message-----

From: Seabron Adamson [<mailto:seabron.adamson@frontiereconomics.com>]
Sent: Friday, September 28, 2001 9:39 AM
To: Alvarez, Ray; dwatkiss@bracepatt.com
Cc: gfergus@brobeck.com
Subject: Meeting next week

Dan/Ray:

How about 2:30 at Bracewell next Wednesday (Oct. 3rd)? I am arriving at Dulles at 1:25 p.m. which should get me into town by then (unless National re-opens in which case I'll go that way and will make it easily...).

Gary - I assume you'll still be back on the West Coast but I've copied you anyway just in case your plans change.

Seab

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